



DALAL & BROACHA
STOCK BROKING PVT. LTD.

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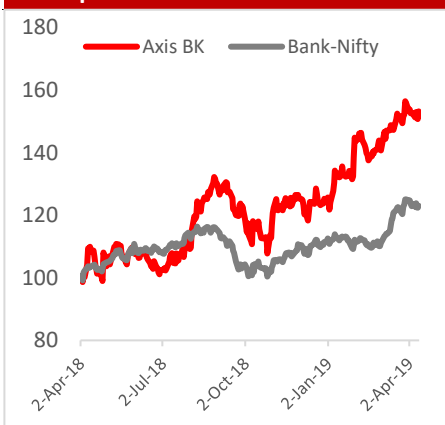
BUY

Current Price (Rs)	755
52 Week Range	788/479
Target Price (Rs)	904
Upside (%)	20%

Key Share Data

Market Cap (Rs.bn)	1943
Market Cap (US\$ mn)	27886
No of o/s shares (mn)	2572
Face Value	2
Monthly Avg. vol (BSE+NSE) Nos'000	3173
BSE Code	532215
NSE Code	AXISBANK
Bloomberg	AXSB: IN

Price performance



% Shareholding	Mar-19	Dec-18
Promoter	18.7	23.7
DIIs	21.2	19.5
FIIIs	49.6	47.2
Others	10.4	9.6
Total	100	100

Axis bank has shown significant improvement in its performance in the last few quarters, supported by better loan mix (retail loans in the overall loan books increased to 49% from 41% in FY16), stable margins (domestic NIM stood at around 3.6%) and improved asset quality (Net NPA down from 3.4% in Q4FY18 to 2.36% in Q3 FY19). Under the new leadership, Bank is focusing on risk-adjusted return on capital (RAROC) based model, which means economic capital allocation will be closely correlated with individual business risk. **On the corporate front, the bank is looking to reduce concentration risk** (exposure to top 20 single borrowers as a % of Tier I Capital reduced from 162% in FY15 to 124% in Q3FY19), **build a higher rated lending book** (82% of corporate exposure is rated 'A-' or better in Q3FY19 vs 66% in FY17), and **increase the share of working capital loans** (22% in FY17 to 31% in Q3FY19). On the retail front, the bank has already made substantial progress over the years in both assets as well as liability side of the balance sheet. Bank's contribution of the retail deposit in the total deposit has increased from 45% in FY15 to 48% 81% in Q3FY19, while its contribution of the retail loan in total loan book has improved to 49% from 40% in FY15.

Shift towards retail loans: Bank has shown substantial improvement in its portfolio mix, with retail advances growing at a CAGR of 23%, while its overall loan book growing at a CAGR of 15% in 2015-2018. **Within the retail loan book, the share of high yielding segments (personal loans, credit card, rural & small business loans) has increased to ~37% vs. 29% in FY13.** Continuous investment in technology and data analytics, helped the bank to increase volumes in several retail segments and to maintain better control on delinquencies & operating expenses. Bank's strategy on retail loans is centered around existing customers, with 83% of retail assets originated in Q3FY19 was from existing customers. **Going forward, we expect that the growth in retail loans will continue to outpace corporate loans.**

Improvement in asset quality: Bank has made steady progress in its asset quality in the last few quarters, supported by better credit risk practices, faster recognition of the stressed loans & increasing share of retail loans. Bank's Gross NPAs (as % of gross customer assets) has declined to 5.75% in Q3FY19 from 6.77% in Q4FY18, while provision coverage ratio (PCR) has improved to 60.4% in Q3FY19 (vs 51.6 % in Q4FY18). **With the incremental lending to better companies & decreasing proportion of the BB & below rated book, the pace of slippages is likely to be lower & the overall asset quality will improve in the near-term.**

Focus on retail liabilities to support credit growth: Bank has a strong liability franchise, with the CA contributes Rs 842 Bn (16.4% of total deposits) and SA contributes Rs 1514 Bn (29.4% of total deposits). Besides, total retail deposits (CASA + Retail Term Deposits stood at 80%) form a substantial part of the deposits of the bank that provides stability to its resource profile. **With the clear focus on expanding the retail customer base and increasing the branch network, we expect that the bank will maintain higher-than-industry-average CASA levels, without following a differentiated interest rate strategy for its deposit accounts like some other private banks.**

Outlook & Valuation

We believe stable NIMs, a strong growth profile, low cost of funds supported by high CASA and RAROC based credit pricing strategy will help Axis bank to deliver robust performance in the near-to-medium term. We expect total business to grow at CAGR 17% in FY18-21E, with growth in advances and deposits at ~16% and ~17% respectively. Thus, we have assigned a 'Buy' rating on Axis Bank with a price target of Rs 904, valuing the stock at 2.9x FY21E standalone P/BV and ascribing a value of Rs 42 for subsidiaries.

Key Financials (Rs in Bn)

Year	NII	Growth (%)	PPOP	Growth (%)	PAT	Growth (%)	BVPS	P/B (X)
FY18	186	3	156	(11)	3	(93)	247	3.1
FY19E	223	20	191	22	49	1683	259	2.9
FY20E	264	18	230	20	100	104	294	2.6
FY21E	317	20	281	22	130	29	327	2.3

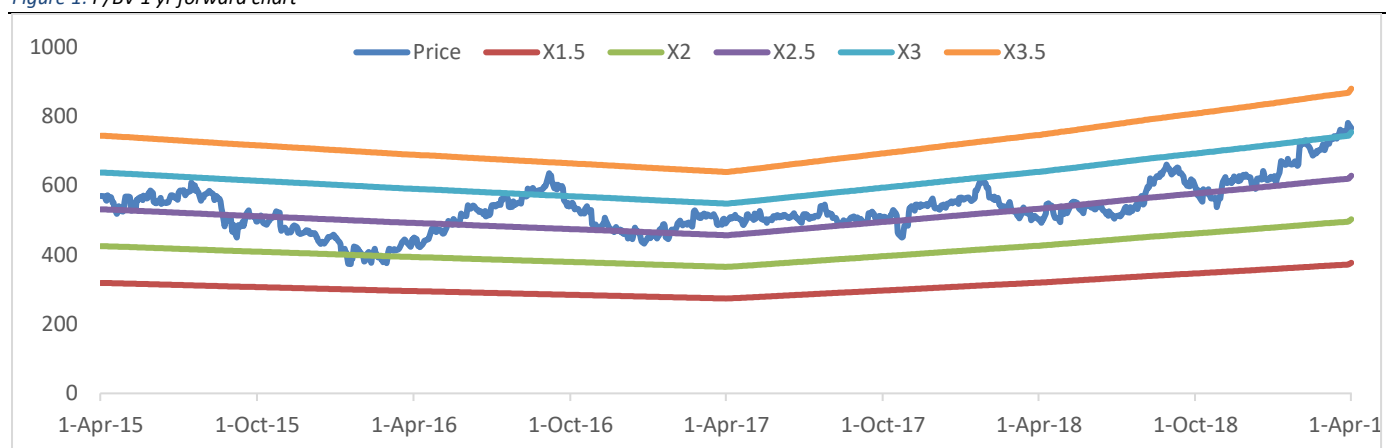


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SOTP Valuation Summary

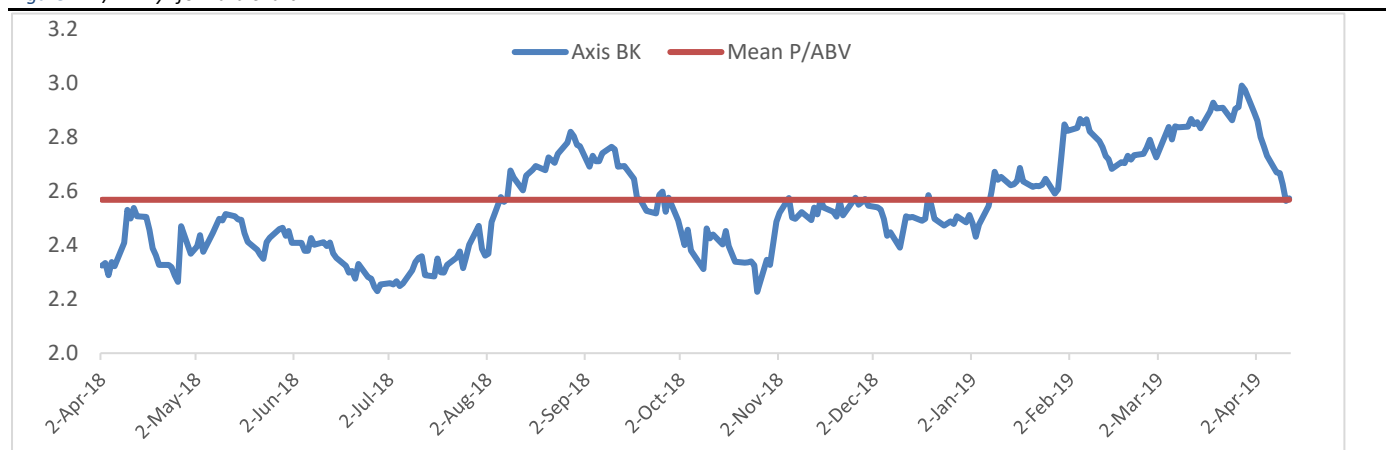
Particular	Stake (%)	Target Multiple	Value Per Share
Core Business	100	2.9x FY21E ABV	861
Axis Finance	100	3x FY21E BV	20
Axis Securities	100	20x FY21E EPS	8
Axis Capital	100	15x FY21E EPS	12
Axis Bank UK	100	2x FY21E BV	7
Axis AMC	75	15x FY21E EPS	6
Total Value of Subs			53
Less: 20% holding disc			11
Value of Subs (Post Holding Disc)			42
Target Price			904

Figure 1: P/BV 1 yr forward chart



Source: D&B Research, Company

Figure 2: P/BV 1 yr forward chart



Source: D&B Research, Company

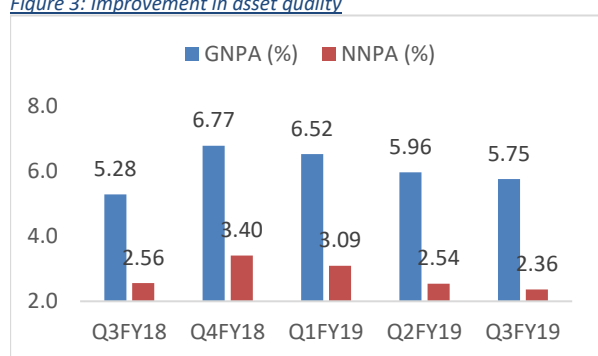


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Asset quality slide

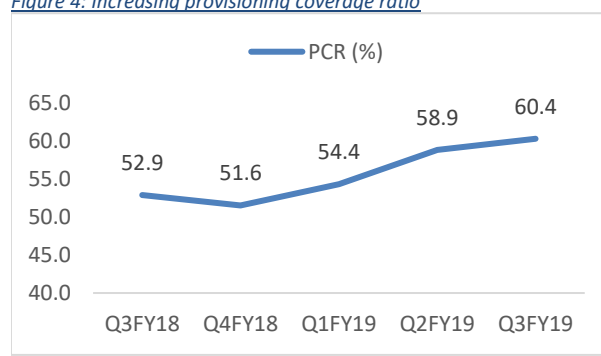
Axis Bank has shown significant progress in its asset quality in the last few quarters (Fig 3), with PCR (Fig. 4) improving to 60.4% in Q3FY19 (vs 51.6 % in Q4FY18). Learning from the past mistakes, bank is focused on improving the quality of its balance sheet, results of which can be seen in Fig 5 (Incremental lending to better companies), Fig 6 (more than 80% of corporate exposure is rated 'A' or better), Fig 7 (building a high rated SME Book) and Fig 9 (cautious in financing large Greenfield projects). Bank's retail book is growing at a faster pace than the overall market, though the bank is still following sound credit risk practices (Fig 12) and stringent provisioning policy (Fig 11). Although annualized slippages for Q3FY2019 was a tad higher at 3.2%, we expect fresh addition of NPA to be lower, mainly due to sub-investment book has declined by 72% from Q1FY2017 and now stands 1.4% of gross customer assets.

Figure 3: Improvement in asset quality



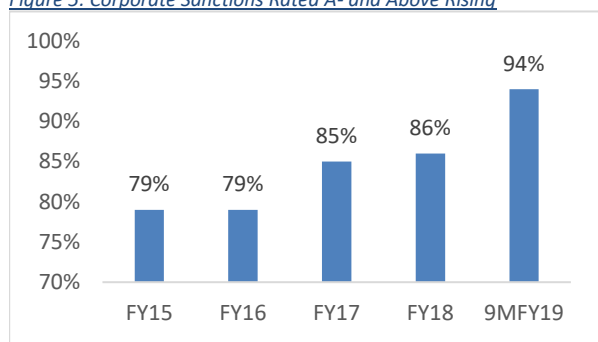
Source: D&B Research, Company

Figure 4: Increasing provisioning coverage ratio



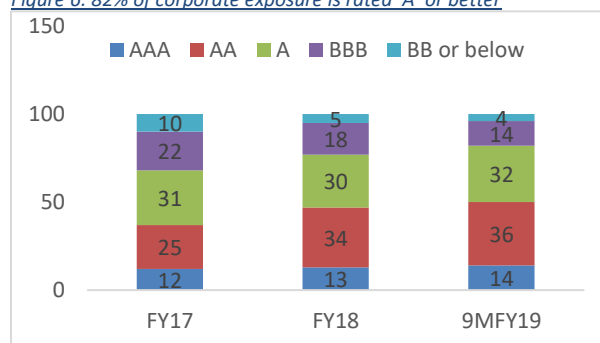
Source: D&B Research, Company

Figure 5: Corporate Sanctions Rated A- and Above Rising



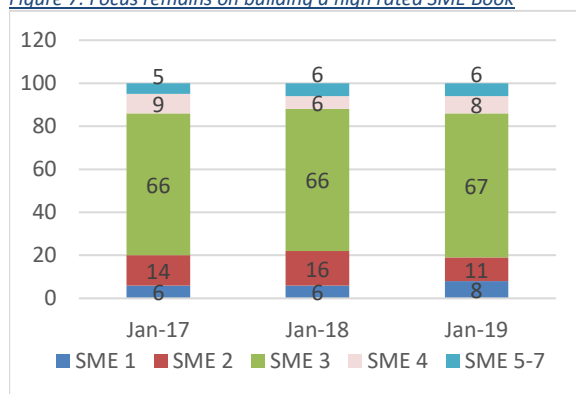
Source: D&B Research, Company

Figure 6: 82% of corporate exposure is rated 'A' or better



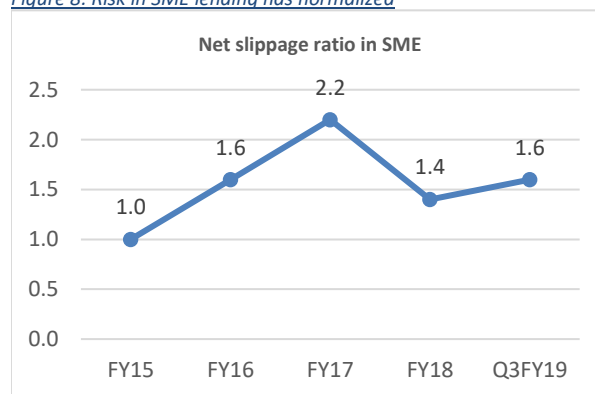
Source: D&B Research, Company

Figure 7: Focus remains on building a high rated SME Book



Source: D&B Research, Company

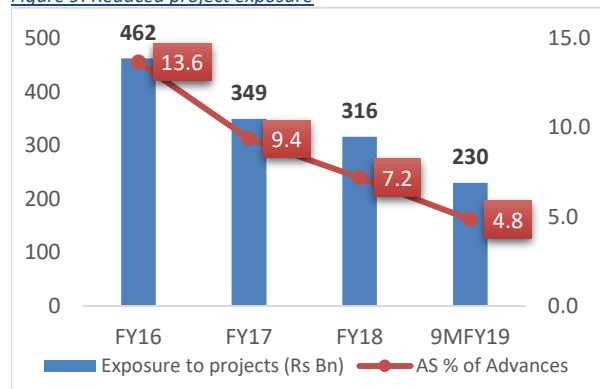
Figure 8: Risk in SME lending has normalized



Source: D&B Research, Company

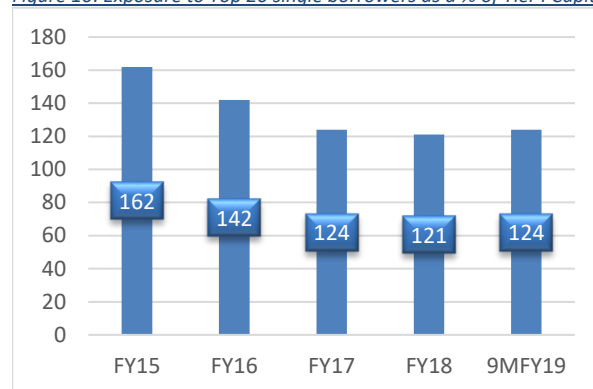
Asset quality slide

Figure 9: Reduced project exposure



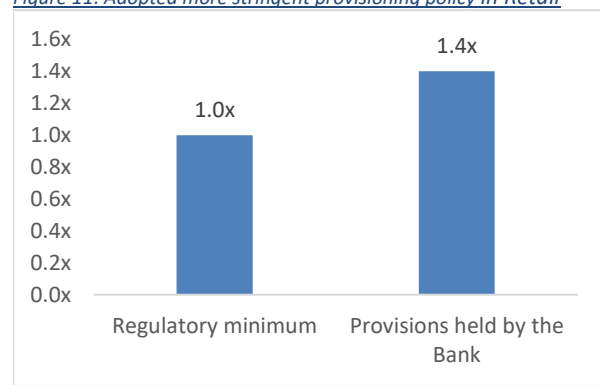
Source: D&B Research, Company

Figure 10: Exposure to Top 20 single borrowers as a % of Tier I Capital



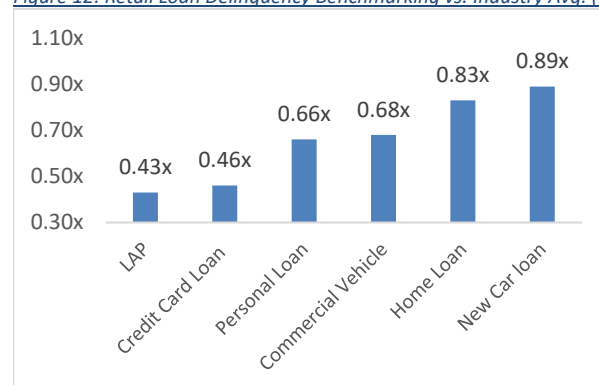
Source: D&B Research, Company

Figure 11: Adopted more stringent provisioning policy in Retail



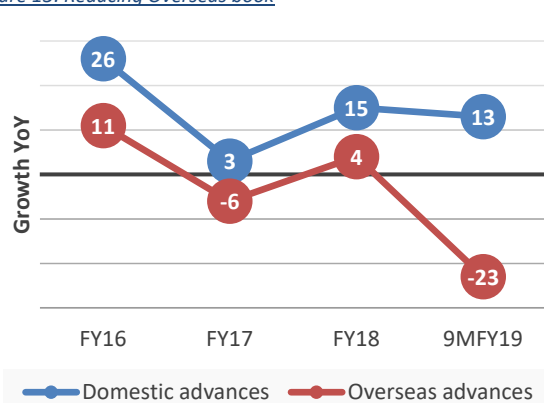
Source: D&B Research, Company

Figure 12: Retail Loan Delinquency Benchmarking vs. Industry Avg. (1x)



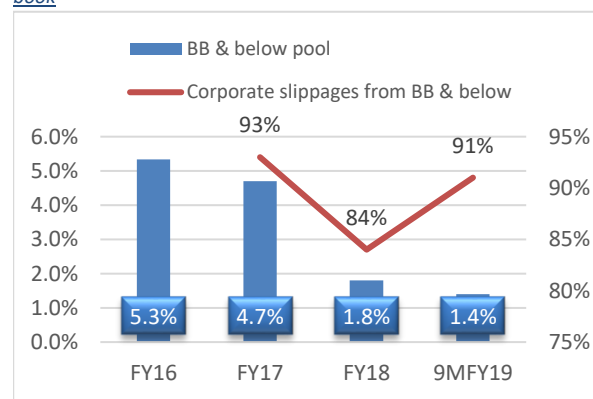
Source: D&B Research, Company

Figure 13: Reducing Overseas book



Source: D&B Research, Company

Figure 14: Corporate Slippages came mostly from disclosed stress book



Source: D&B Research, Company



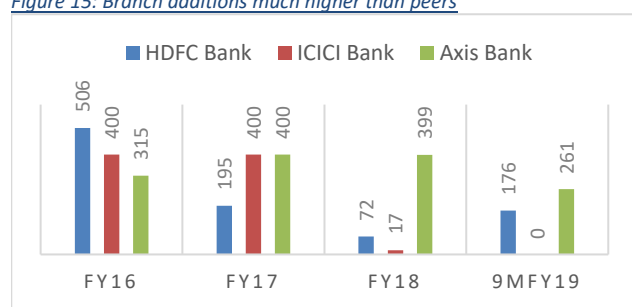
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Branch network driving healthy retail loan growth

In order to gather low-cost deposits and push retail credit, the bank is aggressively adding branches across India. Currently, the bank has 3,964 branches and is targeting 5,000-5,500 branches over the next 3 years. Operating efficiency of branches has improved significantly in the last few years, with increasing employee productivity led by automation & centralization of back-office operations. The size of the branches has reduced by ~60% over the past 5 years, which led to a reduction in operating expenses per branches (branches break-even in 2.5-3 years, with some of the metro branches break-even within 10-12 months).

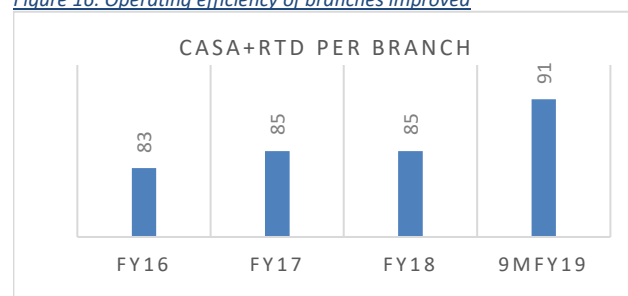
Bank's focus on cross-selling to existing customers is a key driver for retail growth. At present, around 50% of retail loans are being sourced through branches. Retail loan book has been growing at a faster pace (increased from Rs 1.1 lakh Cr in FY15 to over Rs 2.3 lakh Cr in 9MFY19). We expect that the retail lending will continue to grow at a fast pace supported by, higher branch penetration, digital solutions, increasing product bouquet, etc.

Figure 15: Branch additions much higher than peers



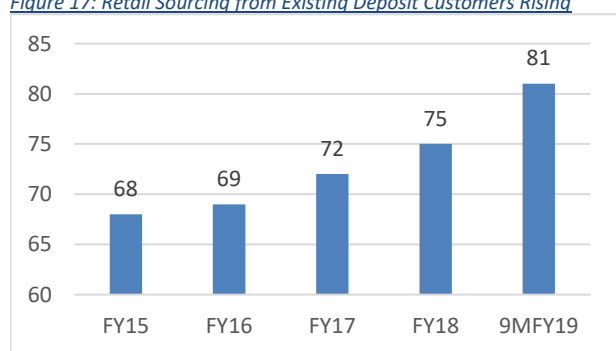
Source: D&B Research, Company

Figure 16: Operating efficiency of branches improved



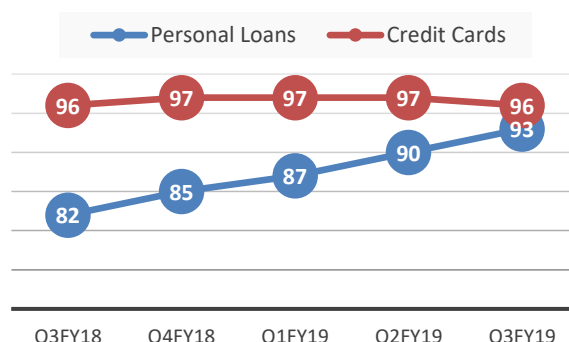
Source: D&B Research, Company

Figure 17: Retail Sourcing from Existing Deposit Customers Rising



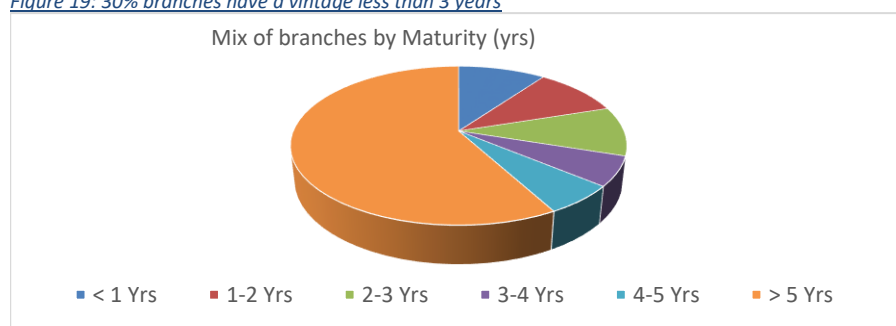
Source: D&B Research, Company

Figure 18: PL,CC, sourcing from internal customers



Source: D&B Research, Company

Figure 19: 30% branches have a vintage less than 3 years



Source: D&B Research, Company



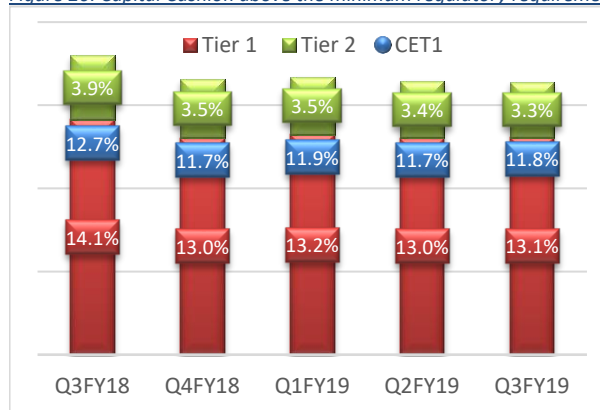
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Adequate Capital to fuel credit growth

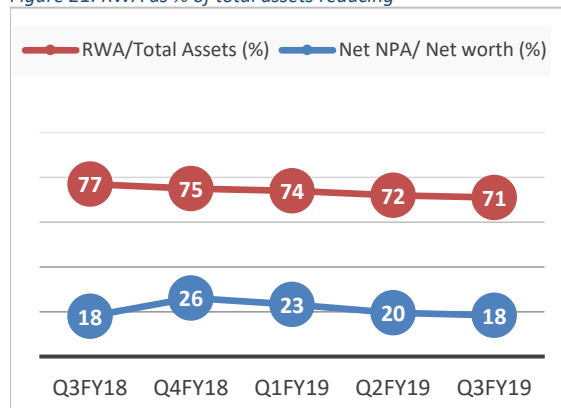
Bank's capitalization levels are at comfortable levels, supported by healthy internal accruals & capital raising at regular intervals. As on Dec 31, 2018, Bank's overall capital adequacy under Basel III remained comfortable at 16.4% (CET I of 11.77% and Tier I of 13.07%) as compared with 18% (CET I at 12.71% and Tier I at 14.13%) as on Dec 31, 2017. Bank has had a proven track record to raise capital and long-term funding, necessary to sustain growth and expansion in the network. This ability to augment capital funds will help to capture growth opportunities with the improving macroeconomic environment. Bank's Net NPA to net worth ratio was around 18% as on Dec 31, 2018, and it improved from 26% as on Mar 31, 2018 due to a decline in Net NPAs. We expect that the bank's capitalization will remain stable over the medium term, supported by improvement in cash accrual, and higher focus on lending better credits with lower risk weightages. The RWA density (RWA to total assets ratio) of the bank has also declined by 700 bps YoY to 71% as on Dec 31, 2018.

Figure 20: Capital Cushion above the minimum regulatory requirements



Source: D&B Research, Company

Figure 21: RWA as % of total assets reducing



Source: D&B Research, Company



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P&L (Rs Bn)	FY17	FY18	FY19	FY20	FY21
Interest Earned	445	458	554	652	771
Interest expended	264	272	331	388	455
NII	181	186	223	264	317
Other Income	117	110	127	149	174
Net Income	298	296	350	413	492
Operating Exp	122	140	160	183	210
PPOP	176	156	191	230	281
Provisions	121	155	120	86	93
PBT	55	1	71	144	187
Tax	18	-2	22	44	57
PAT	37	3	49	100	130

Balance sheet (Rs Bn)	FY17	FY18	FY19	FY20	FY21
CAPITAL & LIABILITIES					
Capital	5	5	5	5	5
Reserves & Surplus	553	629	661	765	850
Deposits	4144	4536	5342	6208	7278
Borrowings	1050	1480	1530	1626	1744
Other Liabilities	263	262	289	318	352
TOTAL	6015	6913	7828	8922	10229
ASSETS					
Cash & Balances	503	435	446	380	221
Investments	1288	1539	1649	1884	2111
Advances	3731	4397	5107	5972	7144
Fixed Assets	37	40	41	42	45
Other Assets	456	504	584	643	708
TOTAL	6015	6913	7828	8922	10229

Ratios (%)	FY17	FY18	FY19	FY20	FY21
Growth					
NII	7	3	20	18	20
PPOP	9	-11	22	20	22
Net profit	-55	-93	1683	104	29
Deposits	16	9	18	16	17
Advances	10	18	16	17	20
Returns					
ROA	0.6	0.0	0.7	1.2	1.4
ROE	6.6	0.4	7.4	13.0	15.2

Ratios (%)	FY17	FY18	FY19	FY20	FY21
Valuation					
BV (Rs)	233	247	259	294	327
ABV (Rs)	197	183	215	261	297
EPS (Rs)	15	1	19	38	50
P/ABV (x)	3.8	4.1	3.5	2.9	2.5
P/EPS (x)	49	703	40	20	15
Asset quality					
GNPA	5.2	6.8	5.1	3.4	2.5
NNPA	2.3	3.6	2.2	1.4	1.0



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